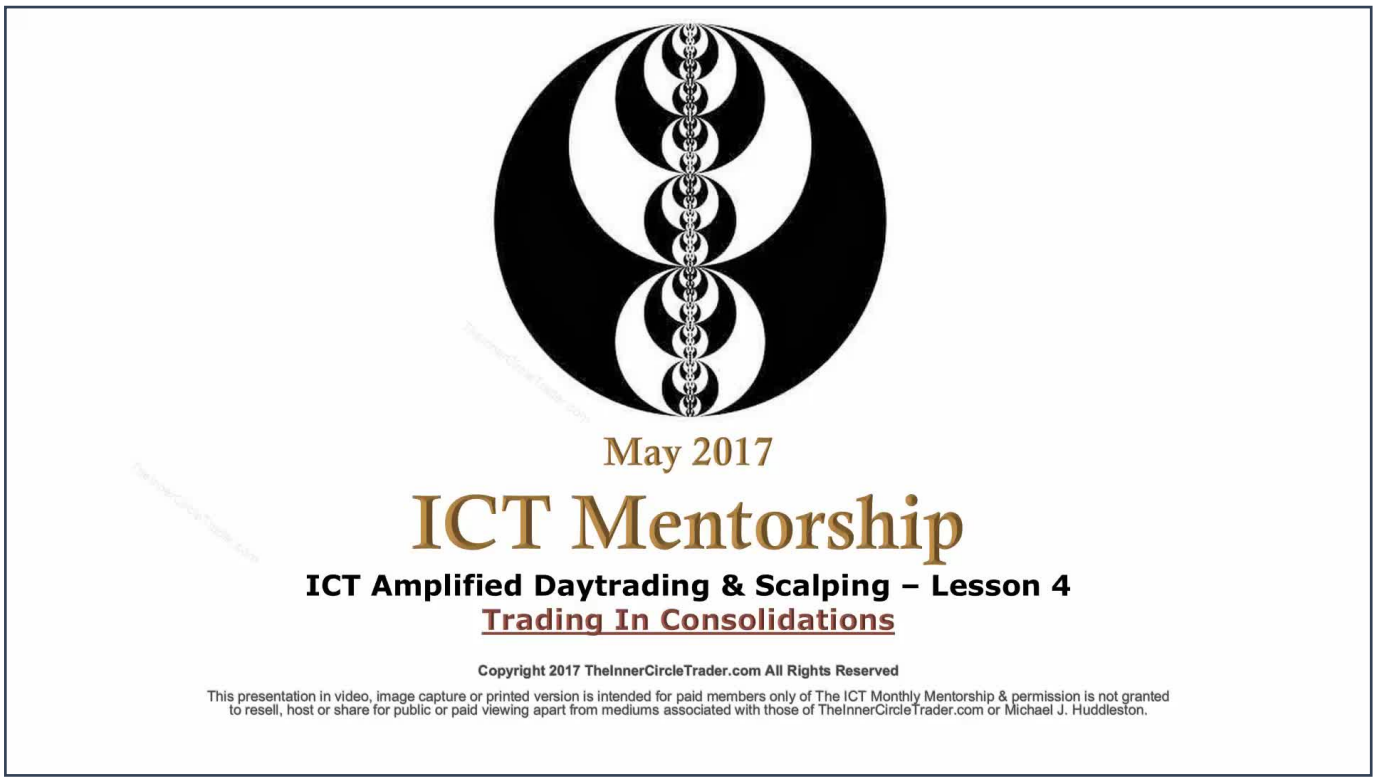
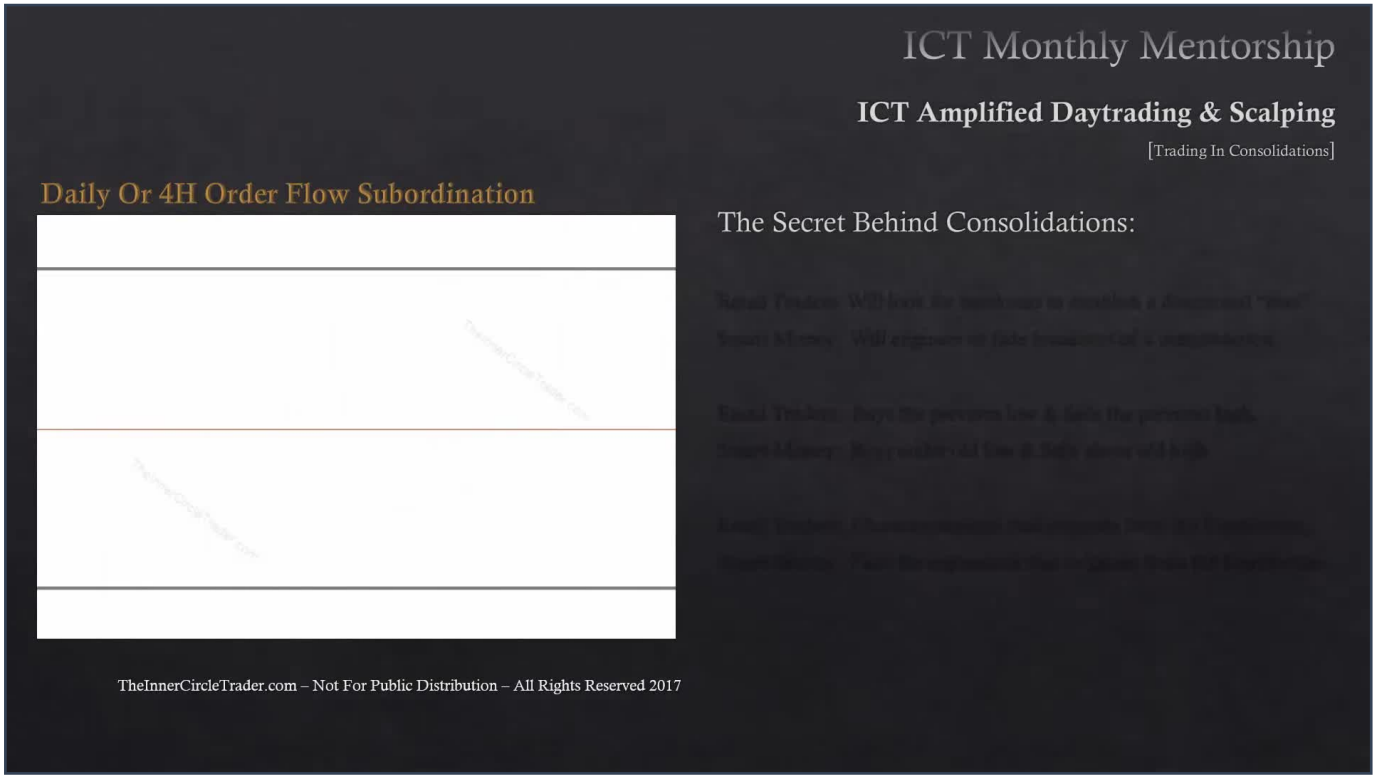
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 09 - TRADING IN CONSOLIDATIONS



Welcome back to Lesson Four of the May 2017 ICT Mentorship, ICT Amplified Day Trading and Scalping. This teaching focuses on trading in consolidations.



The first thing you need to understand is the focus on the Daily and/or Four Hour order flow subordination.

- What is order flow telling you on a daily basis on the Daily chart?

- Is price suggested to go higher based on IPA and Order flow, or is it most likely going to go lower?

- The Four-Hour chart is your last line of defense in terms of determining directional bias.

- You want to be trading in preferably both the Daily and Four-Hour both suggesting higher prices or lower prices.

- Look for consolidations in price in a lower time frame, around an hourly chart or 15-minute time frame.

- This may be a buildup of new positions or a buildup of orders to then look for a rejection, basically a 'Turtle Soup'.

When it comes to consolidations, think in two camps:

- What retail traders are thinking, trying to do the opposite of that in your own trading.

- What smart money does with their trades.

Retail Traders:

- Will be looking for breakouts to establish a directional bias.

- Have no insights as to what the market may be telling them.

- Are looking for a cause and effect: 'if it does this then I'll understand that'.

- Are basically chasing after price.

Smart Money:

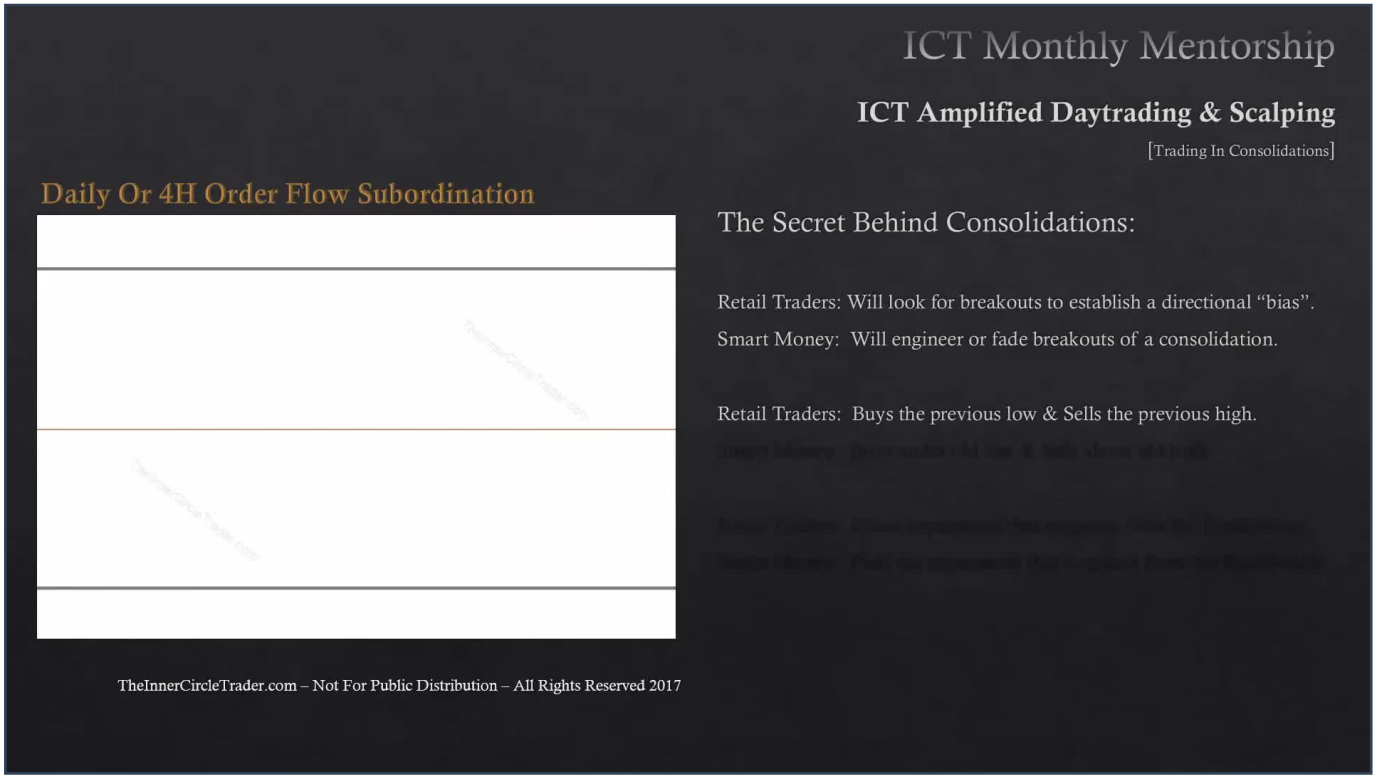
- Will engineer or fade breakouts of a consolidation.

- Is not trying to follow price.

- Will allow price to go to a specific level when if to when IPA trades to a specific key level or of price or a

liquidity reference point or a PD array.

- If it happens to be in agreement with a breakout of a consolidation, you will many times see a lot of institutional sponsorship on the move that fades that very thing.



Retail traders buy the previous low and sell the previous high. This is in keeping with the traditions of technical analysis or what is known as classical support resistance.

Smart Money's perspective:

- Buy under an old low and selling above an old high.

When markets are in consolidation:

- The consolidation itself is permitting the open float, which is the buildup of orders above and below the current market action.

- You want to be looking above short-term and below short-term for where the buy stops and sell stops would be - that's your open float.

- The longer the sideways consolidation, the more orders they're allowing to build up.

As a day trader, a long phase of consolidation could be rather brief, but inside that consolidation, we have to understand what's being permitted:

- Orders are being allowed to stack up in terms of breakout orders.

- Orders are being allowed to stack up in terms of trailed stop-loss orders.

- Stop orders that would key up an entry, for instance, buying on a stop for strength and selling on a stop for weakness.

- All those ideas overlap and it creates a great deal of near-term open float.

- The open interest above the marketplace starts to concentrate.

- The open interest below the marketplace will begin to concentrate.

- You'll have a lot of liquidity basically bracketing the market price.

SUBORDINATION OF LOWER TIME FRAMES TO HIGHER TIME FRAME ORDER FLOW

When we look at the Daily and/or Four Hour order flow, the subordination to that in terms of price action when consolidations occur:

- Whatever the direction of Daily or Four Hour is, that's going to be the direction of the move outside the consolidation most often.

- If price moves above the consolidation (take out an old high) and Daily and/or Four Hour is bearish, that's usually going to be the best scenario work for trading in the consolidation.

- If Daily and Four Hour order flow is bullish, any moves below the consolidation would be viewed as smart money accumulating the sell stops for a move higher.

- If the Daily or Four-Hour order flow is bearish, any move above the consolidation above an old high is going to be viewed as smart money knocking out buy stops and accumulating short positions.

- The opposite is going to be seen with the retail crowd; they're going to be basically chasing price.

RETAIL CHASING VS. SMART MONEY FADING EXPANSIONS FROM EQUILIBRIUM

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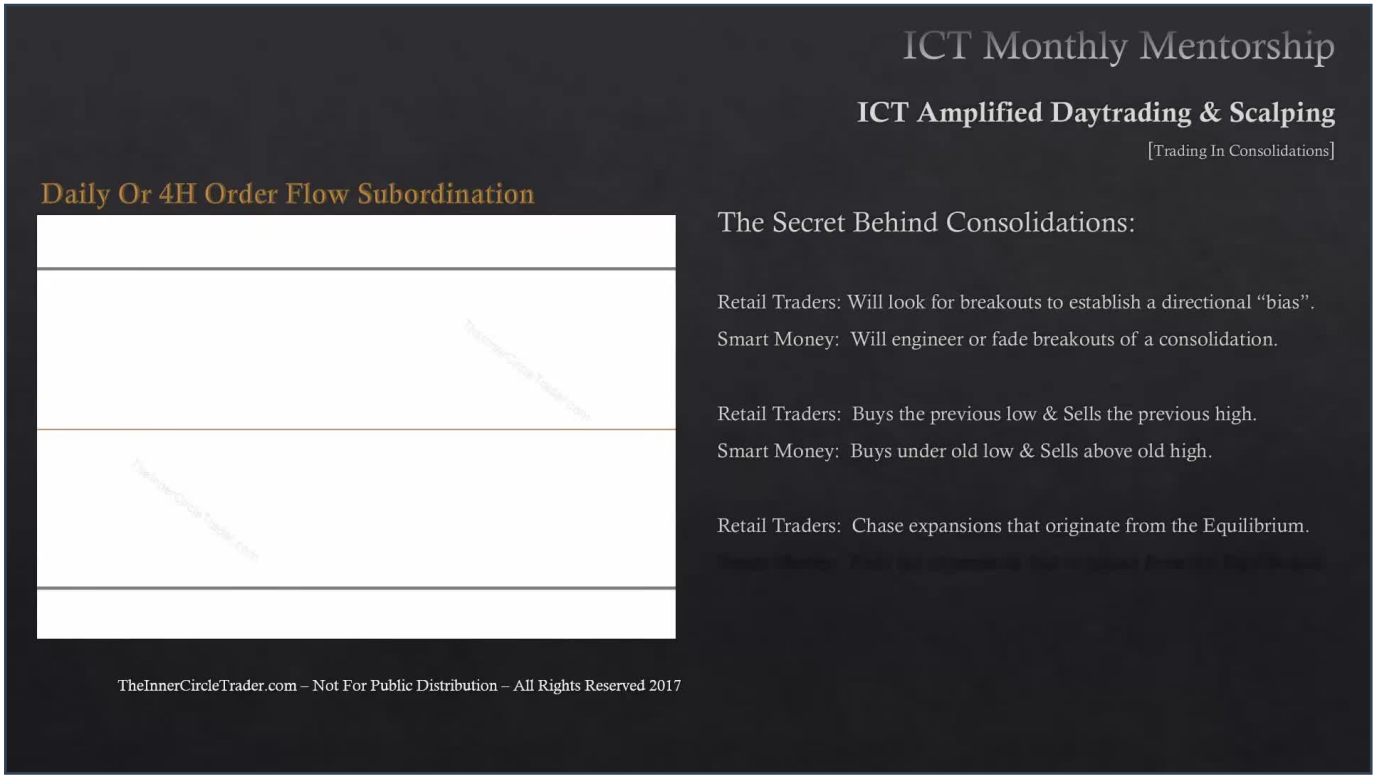


Retail Traders:

- Chase expansions that originate from the equilibrium.

Smart Money:

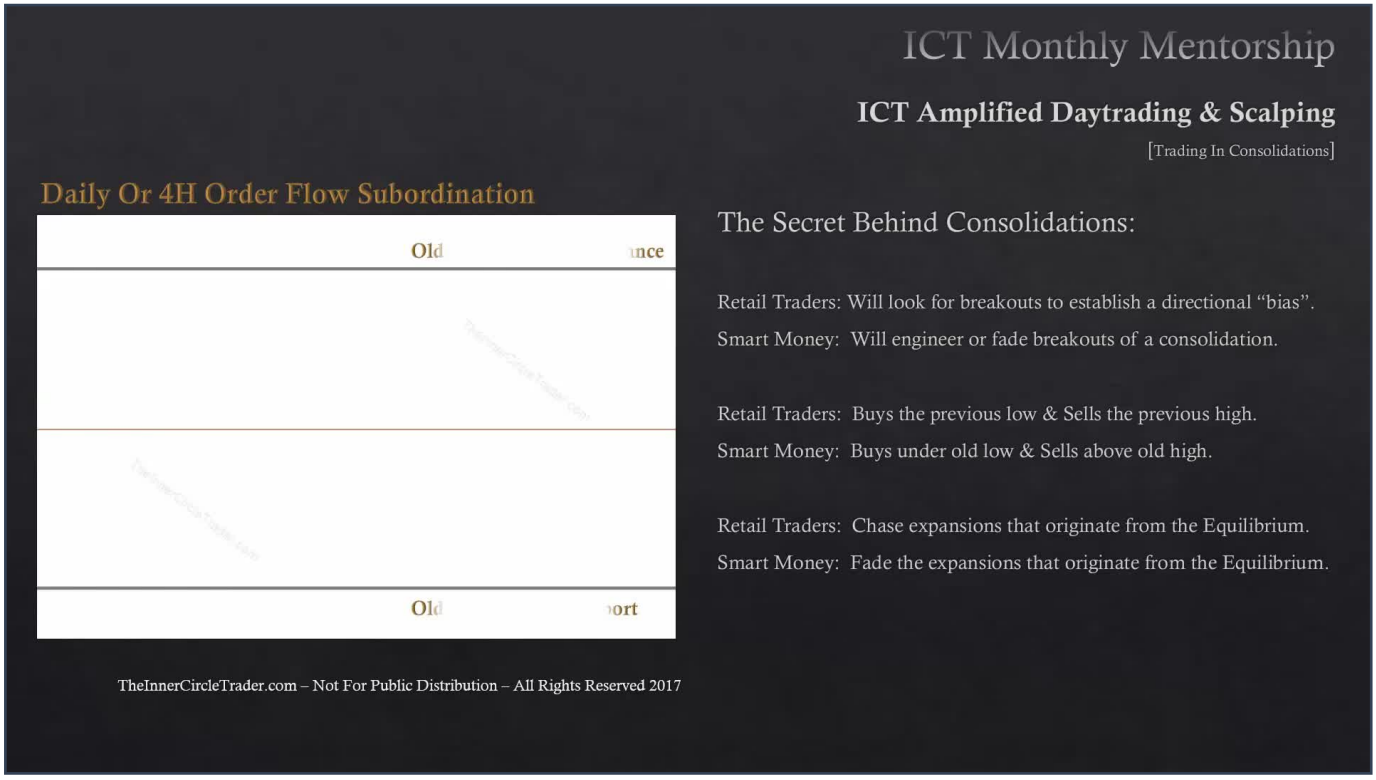
- Fades the expansions that originate from the equilibrium.

Explanation:

- When the market is bearish on the Daily or Four Hour in terms of its order flow, this subordination factor is going to be seen in the lower time frame charts.

- If there's a consolidation and price starts to trade away from the equilibrium price point higher, and it breaks a short-term high, retail traders are going to see that as something bullish, looking for expansions (usually ABCD type movements).

- Smart money does not see that; they actually fade that and go the opposite direction. Any short-term high broken as price moves away from the equilibrium price point or middle of the consolidation, they fade that as a short-term stop run and then send it to the opposite extreme of the consolidation and just outside the consolidation range.



Retail thinks in terms of:

- Old High: classic retail resistance.

- Old Low: classic retail support.

We're more focused on the equilibrium price point because we understand premium and discount, not just simply what price did at an old high/old low.

- We understand if it turned at an old high, liquidity is going to be just below that high for a bearish order block, or it's going to go above that high for the liquidity resting above it in the form of buy stops.

- At the equilibrium, we want to see price moving, expanding away from that.

BEARISH ORDER FLOW SCENARIO: SELLING SHORT-TERM HIGHS

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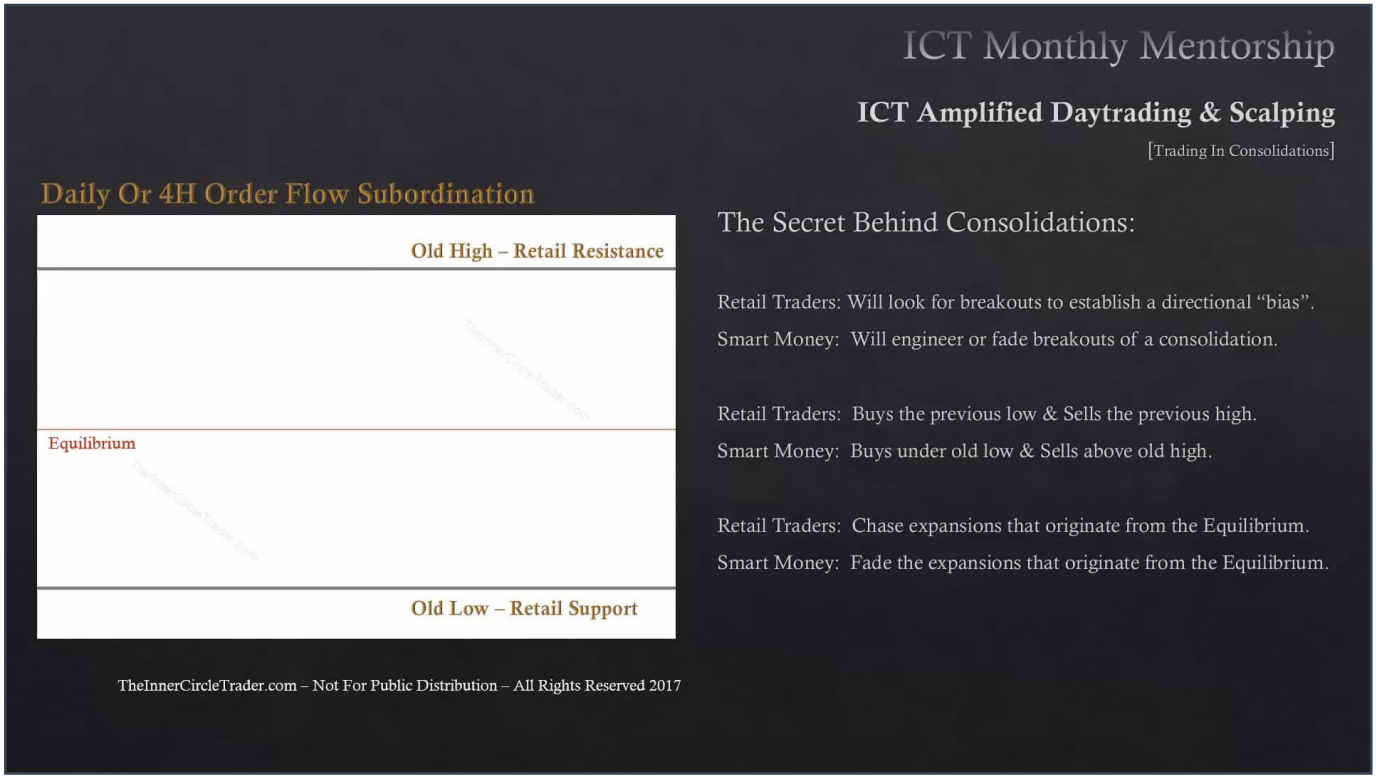


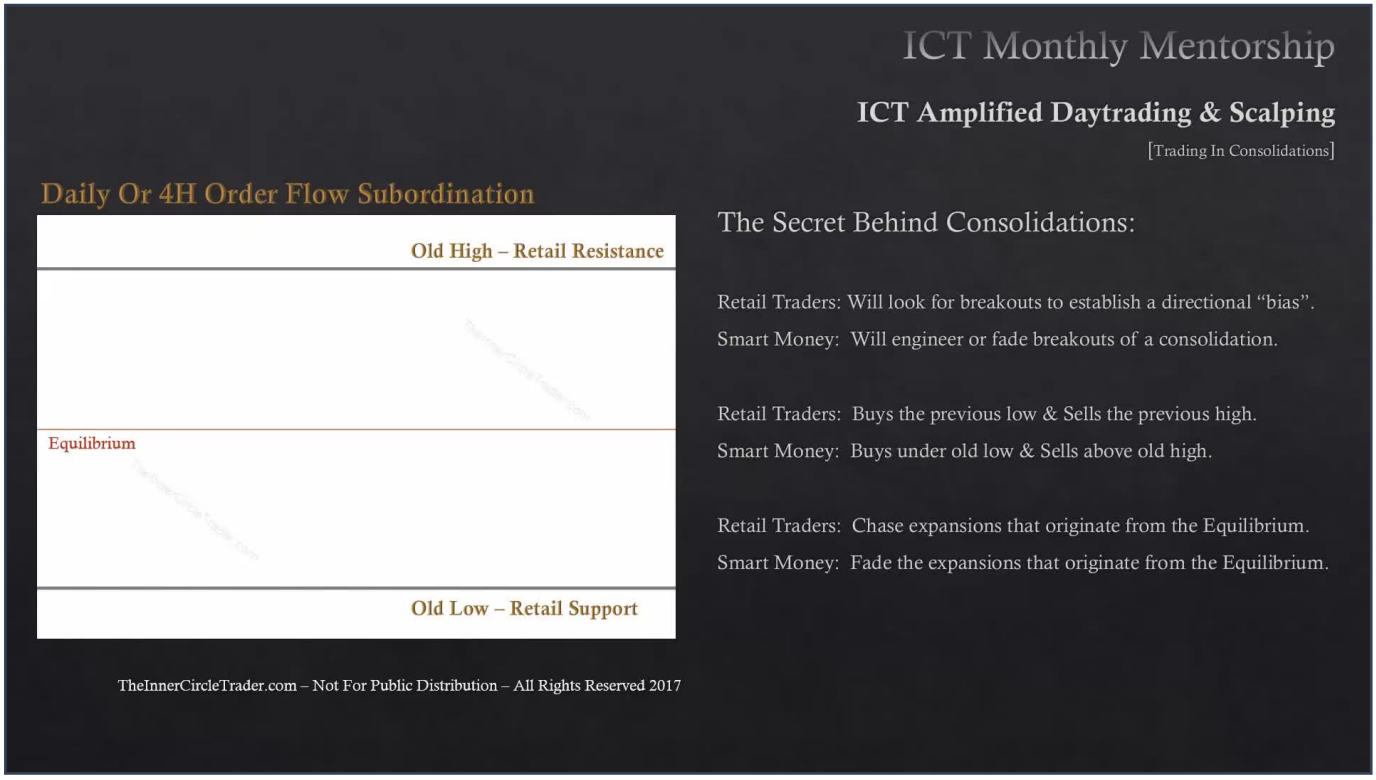
If the Daily or Four Hour is bearish in the order flow subordination on the lower time frame:

- We expect any consolidations, any rally away from the equilibrium price point that breaks a short-term high, we will be looking to sell short.

- Retail is going to want to see that as a 'breaking structure' for lower prices, or an ABCD correction to the upside.

- If Daily/Four Hour order flow is moving lower, and we see an expansion away from the equilibrium price point or the middle of the range, and it breaks a short-term high, that is our sell scenario.

- We're looking for the opposite end or the old low or retail support, that's what's going to be targeted next, and then a move below that.



The opposite is said for when equilibrium is expanding downward when the order flow on the Daily or Four Hour is bullish:

- If we see a short-term low that's broken on an expansion away from equilibrium, we'll see that as a run on buy stops, not a break in structure for lower prices.

- We see that as a sweep on sell stops to accumulate new longs.

- They're going to run for the other end of the consolidation or just outside of it for the liquidity for the buy stops.

CONSOLIDATION BREAKOUT SCENARIO: BEARISH ORDER FLOW

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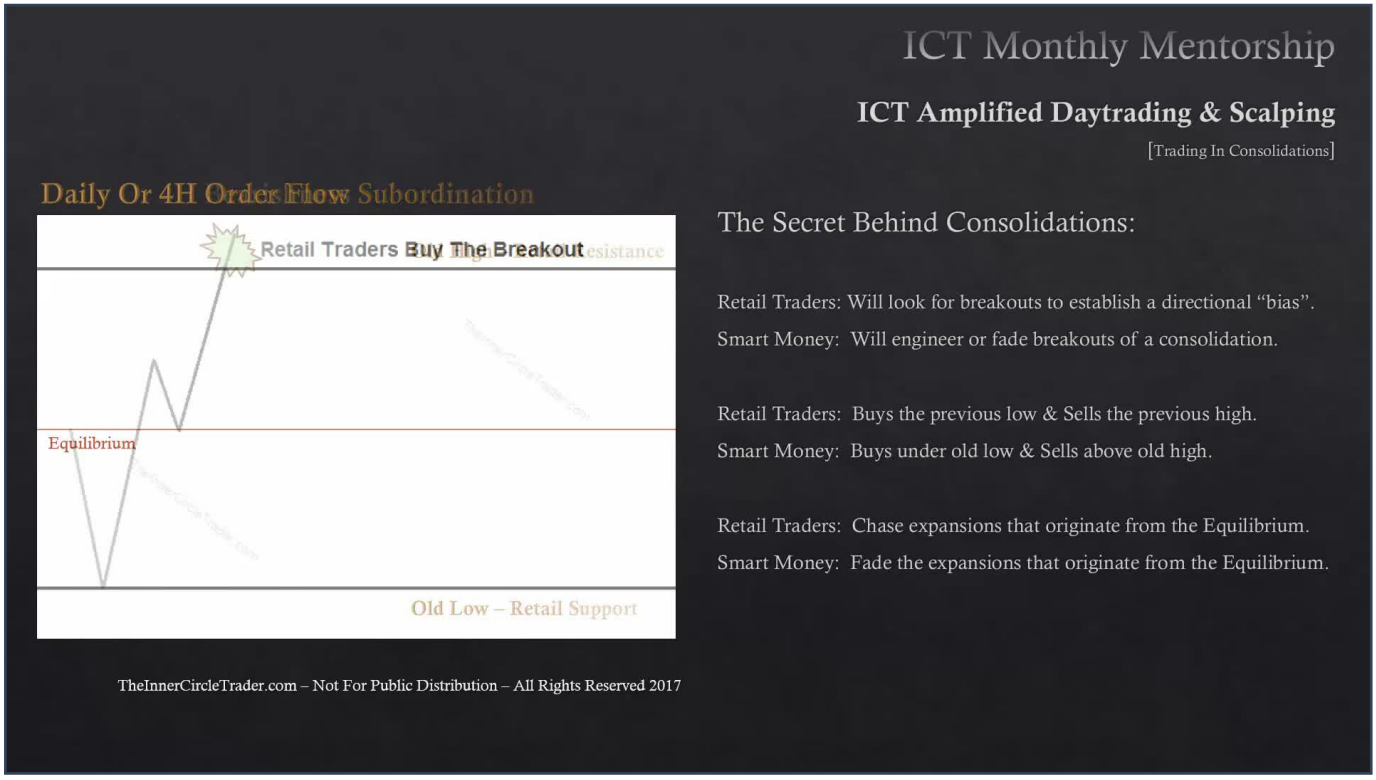

When Daily and/or Four Hour is bearish:

- Retail Traders: See a rally above a clearly definable consolidation as a bullish breakout and want to buy that. Their buying creates the perfect opportunity as a counterparty.

- Smart Money (mimicked by us): Will be selling that breakout. We want to see consolidations and a rally outside of that consolidation to entice retail or less informed traders to buy, thinking they're buying strength. The higher time frame (Daily or Four Hour) order flow will cause the lower time frames to be subordinate. We're going to be selling those breakouts.

CONSOLIDATION BREAKDOWN SCENARIO: BULLISH ORDER FLOW

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When the Daily or Four Hour is bullish and the price breaks down below the consolidation:

- Retail Traders: Going to see that as a 'break in structure', as weakness. They'll look to sell short on weakness, trying to sell that as a breakout entry or a short position.

- Smart Money (mimicked by us): Sees the opposite. If the Daily or Four Hour is seeing bullish order flow, when we see this break below an old consolidation, we understand that's accumulation of sell stops in the form of pairing up their orders to go long.

INSIDE CONSOLIDATION: BULLISH ORDER FLOW & SMART MONEY ACCUMULATION

Inside of the range or the consolidation when the Daily or Four Hour order flow is bullish:

- Retail Traders: Anticipate traders seeing an old low that shows a short-term bounce. When price trades back down to that same equal low, they're going to be buying there, putting their stop loss just below that previous short-term low. They're treating the old low as classic support and resistance (which doesn't work).

- Smart Money (mimicked by us): We anticipate this, and then when price trades down below the previous low outside of the consolidation, that's where we're looking to be a buyer. We're buying up those sell stops when the Daily and/or Four Hour is in a bullish order flow. This creates our low-risk, high-probability entry.

When we have these conditions:

- We're looking for price to return back to equilibrium. We do not anticipate or always hold for the opposite end of the consolidation.

- We have no idea if that's going to occur with any validity.

- We just simply take the move back to the equilibrium because price, while in consolidations, is always going to want to gravitate back to the mean.

- Equilibrium is the middle of what we deem as fair value.

- Always in consolidations, anticipate price expanding away from the equilibrium price point, then outside of the consolidation. But many times it'll snap back up into the middle of the range or go back to equilibrium.

- If the Daily or Four Hour is bullish, even if we are going to bounce lower after hitting equilibrium, many times this in itself will provide an opportunity to get long and have a tradable rally.

The opposite scenario:

- When a Daily or Four Hour is bearish and we see price trade back up to an old high while it's inside the consolidation:

- Retail Traders: See this as an old high; classic support and resistance theory is going to be in operation. They're going to sell short right there and place their buy stops just above the previous high that was inside the consolidation. They have no understanding of order flow or how markets build up liquidity.

- Smart Money (mimicked by us): We're anticipating this and the buildup of buy stops just above that previous high. We wait for that, exercise patience, looking for the consolidation breakout above a previous high. When that happens, we're mimicking what smart money does by selling above, scooping up those buy stops that retail traders or less informed traders are going to be placing because there's going to be a buildup of that buy side liquidity. When price trades up there, IFPA will permit an opportunity for short sellers at the bank to pair up their shorts with the obvious level of buy stops that are resting above that previous high.

BEARISH ORDER FLOW: SELLING EXPANSIONS ABOVE EQUILIBRIUM

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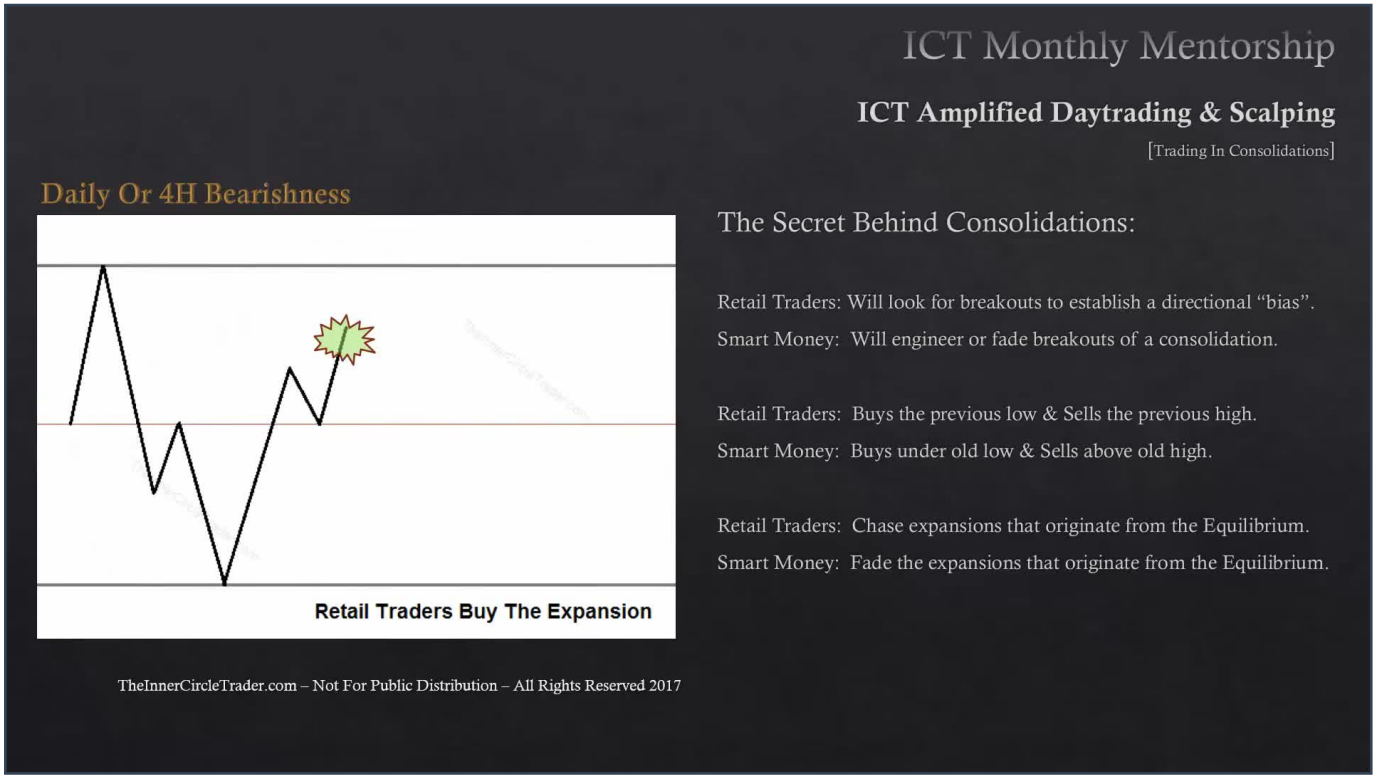
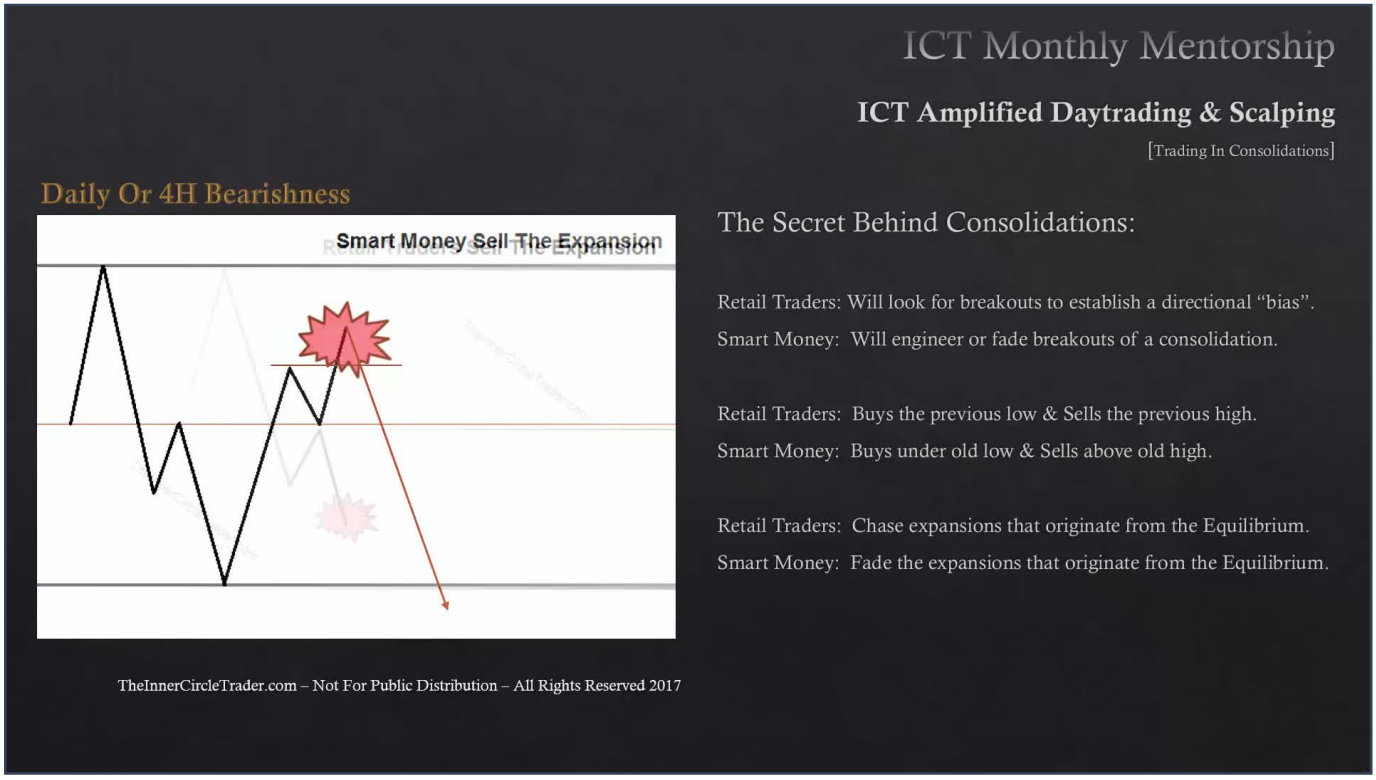


When the Daily or Four Hour order flow is bearish and we see a price move away from and higher away from that equilibrium price point, and it breaks a short-term high:

- Retail Traders: Going to see that short-term high broken as a 'breaking structure' and they're going to look to buy, going long, and they'll look for an ABC type formation and expect to see strength in that particular market.

- Smart Money (mimicked by us): Sees that as an opportunity to sell away from the expansion because the subordination of the lower time frame charts will follow what's being dictated on the Daily and/or Four Hour chart. If it's bearish order flow, we identify where equilibrium is, then look for short-term highs just above equilibrium and then a rally above that. Many times, this is the ideal entry point for shorts. Once that short-term high is broken, that's an accumulation on buy stops.

- If they're going to run the buy stops in a Daily or Four Hour bearish environment, that's where we look to go short. We aim for the liquidity resting below the previous low that creates the consolidation support. We're going to pair up our buying to cover our short with those individuals that have sell stops resting below an old low. All facilitated by a run on buy stops from a short-term high that was created just above the equilibrium price point that we use to sell into those willing buyers. We're pairing orders just like the smart money does at the bank level, using institutional order flow from a Daily and/or Four Hour chart.

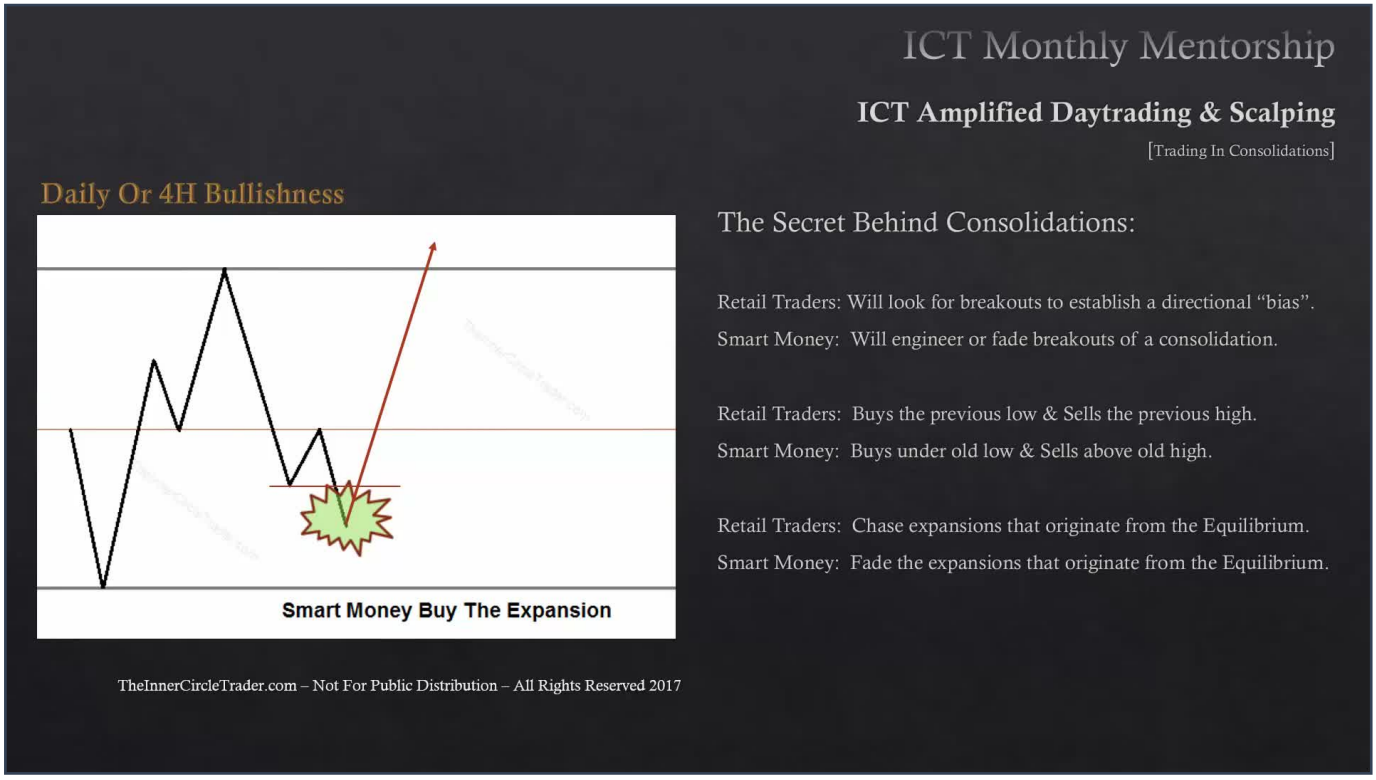


When the Daily or Four Hour is bullish:

- Retail Traders: Going to see that sell opportunity in their mind by having that expansion lower that breaks below an old short-term low. They're going to see that as a breaking support, a 'break in market structure', and they'll see that as selling short on weakness, looking for a continuation or breakdown in that particular market. They're selling weakness.

- Smart Money (mimicked by us): Anticipate this very thing and will fade that whole move. That move that breaks that short-term low retail sees as an opportunity to sell short is an opportunity for us to fade that and do the opposite. When they see that short-term low, if the Daily or Four Hour is bullish, what they see is a run on sell stops. That short-term low is going to be building up a liquidity pool for sell stops that would create immediate injections of selling liquidity. They seek selling liquidity because they need to buy the market long. Their counterpart is going to be this run on that short-term low or expansion away from equilibrium when Daily or Four Hour is bullish.

- What we're looking for is where price comes down, snaps up short-term sell side liquidity. They use that sell side liquidity to be counterparties to buy long. When that occurs, they expect and anticipate a move outside of the consolidation to pair up their orders with the buy stops that are resting above the old consolidation high. We do the same things that the bank traders do, we anticipate it and use the generic price action characteristics that are inside of a consolidation that retail traders don't think about. They don't think about price like this; they think about selling weakness and buying strength, and they have no understanding what fair value is and how to use it with the equilibrium.



When we look at price action on the lower time frames for day trading and on higher time frames:

- The Daily or Four Hour order flow (bullish or bearish), are we respecting a bullish order block, are we reaching up to a premium PD array? This dictates our bullish/bearish bias.

- This means the consolidations we're seeing here are a pattern we'd like to see for our day trades.

- That short-term low could be in many cases the Asian session low or it could be a previous day's low, and either one of those scenarios would create a wonderful opportunity to get long as a day trade.

- Everything just said can be reversed for going short.

- Think about when markets are in consolidation; there are some very generic characteristics that we look at, which helps build an idea, but it all stems from the subordination that price is going to hold relative to the Daily and Four Hour direction bias based on institutional order flow.

- By using what the PD Matrix would be suggesting is in play right now (discount or premium market), we use our PD Matrix to determine what those levels that are reaching for, that's our directional bias.

- If we see that directional bias arrived at from a Daily chart or a Four Hour chart, we have higher time frame directional bias on our side.

- Then any consolidation, we know what side do we need to be working on.

- Any short-term low that's violated below the equilibrium, we're going to look to go long on that if it's bullish on the Daily or Four Hour.

- Any move below the old lows of the consolidation, we anticipate that as a run on sell side liquidity. They want to run the sell stops because they want to pair those up with their buying.

- We have to focus primarily on the Daily and Four Hour for day trades to give us the high probability directional play and also how to not get beat up by trading in consolidations and working on one side of the marketplace and seeking that liquidity like the banks do.